Canyon US Real Estate Debt Fund III ("CRED III")
Q4 2025 Investor Reporting

CRED III Q4 2025 Update

CANYON PARTNERS, LLC

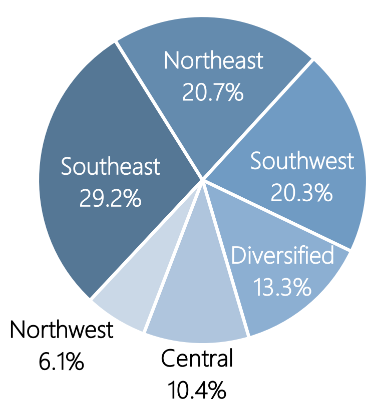
Performance

- CRED III has committed $607.6M across 28 closed investments and 3 executed term sheets.[1]
- The Fund is tracking to a 9.4% weighted average current pay.[2]
- 3 realizations to date, returning 39.4% of capital contributions back to investors.
- Subsequent to quarter-end, CRED III signed up 2 additional term sheet investments.

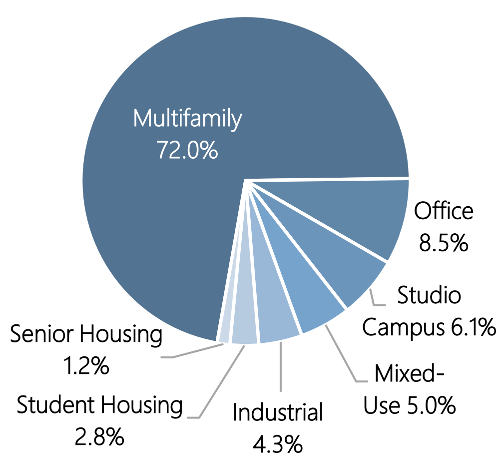
Performance Overview		
	September 30, 2025	December 31, 2025[1]
Wtd. Avg. Deal-Level Gross/Net IRR[2]	14.8% / 11.3%	14.6% / 11.1%
Wtd. Avg. Deal-Level Gross/Net EM[2]	1.42x / 1.29x	1.41x / 1.29x

Portfolio Composition[1]

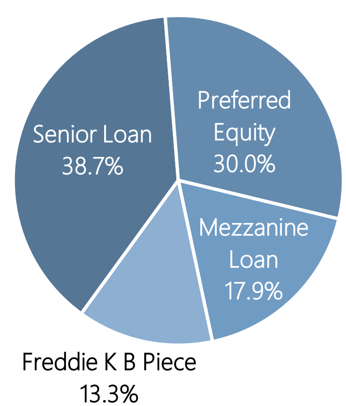
Geographic Breakdown



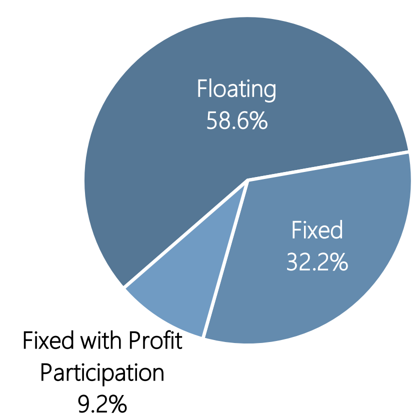
Property Type



Investment Type



Fixed vs. Floating



[1] There can be no assurance that executed term sheet investments will close nor that they will close at the terms indicated herein. Includes investments that closed or were signed up post-Q4. [2] For performance returns and net returns calculation methodology disclosures, please see Slide Specific Footnotes.

CRED III Investment & Capital Activity

Investment Activity Overview		
	September 30, 2025	December 31, 2025[1]
# of Closed Investments	26	28
Total Capital Committed to Closed Investments	$496.2	$529.2
*% of Capital Committed to Closed Investments**	61.0%	65.1%
Number of Closed + Executed Term Sheet Investments[2]	29	31
Total Capital Committed to Closed + Executed Term Sheet Investments[2]	$541.4	$607.6
% of Capital Committed to Closed + Executed Term Sheet Investments[2]*	66.6%	74.7%
Number of Realized Investments	3	3

* As a % of Fund commitments.

Capital Activity Overview		
	September 30, 2025	December 31, 2025
Investor Capital Commitments	$813.4	$813.4
Total Capital Called	$364.6	$368.8
% of Total Capital Commitments Called	44.8%	45.3%
Total Distributions	$114.9	$145.3
Distributions as a % of Total Capital Called	31.5%	39.4%

Note: $ in millions. Figures may not total exactly due to rounding.

Note: As of 12/31/2025, unless otherwise stated. It is not known whether, and there can be no guarantee that, these opportunities are representative of those which will be available in the future.
[1] Includes investments that closed or were signed up post-Q4. [2] There can be no assurance that executed term sheet investments will close nor that they will close at the terms indicated herein.

CRED III Portfolio Detail

	Investment	Closing Date	Investment Type	Property Type	City	State	CRED III Allocation
Closed							
1	Freddie Mac KF134 B Piece	Apr-22	Security	Multifamily	Diversified	Diversified	$25.7
2	*365 Bond Mezz B*	*Sep-22*	*Mezzanine Loan*	*Multifamily*	*Brooklyn*	*NY*	*$29.1*
3	Freddie Mac KF145 B Piece	Nov-22	Security	Multifamily	Diversified	Diversified	$19.4
4	35 Stone	Nov-22	Mezzanine Loan	Office	Seattle	WA	$27.3
5	South Tryon Flats	Dec-22	Preferred Equity	Multifamily	Charlotte	NC	$20.0
6	*Parkstone at Indian Land*	*Jan-23*	*Preferred Equity*	*Multifamily*	*Indian Land*	*SC*	*$14.8*
7	Freddie Mac KF151 B Piece	Feb-23	Security	Multifamily	Diversified	Diversified	$21.9
8	Wynhouse	Jun-23	Senior Loan	Multifamily	Miami	FL	$18.0
9	Sunnyside Studio Campus	Jul-23	Senior Loan	Studio Campus	Queens	NY	$37.0
10	*One22One*	*Aug-23*	*Senior Loan*	*Office*	*Nashville*	*TN*	*$24.5*
11	Navona	Oct-23	Preferred Equity	Multifamily	Mesa	AZ	$31.2
12	Towerview at Ballantyne	Feb-24	Preferred Equity	Multifamily	Charlotte	NC	$12.6
13	745 4th Avenue	Mar-24	Senior Loan	Multifamily	Brooklyn	NY	$14.7
14	The Valiant	Sep-24	Preferred Equity	Student Housing	Berkeley	CA	$10.0
15	Aer Lamar	Nov-24	Preferred Equity	Multifamily	Austin	TX	$24.8
16	Inspire Sonoran Desert	Dec-24	Preferred Equity	Multifamily	Phoenix	AZ	$26.4
17	American House Oak Park	May-25	Senior Loan	Senior Housing	Oak Park	IL	$7.6
18	Artisan Oaks	May-25	Senior Loan	Multifamily	Santa Clarita	CA	$4.1
19	SaltAire	May-25	Senior Loan	Multifamily	Torrance	CA	$4.4
20	2900 Terrace	Jun-25	Mezzanine Loan	Multifamily	Miami	FL	$52.5
21	The Saint Grand	Jul-25	Senior Loan	Multifamily	Chicago	IL	$12.8
22	Ferncliff	Jul-25	Preferred Equity	Multifamily	Melville	NY	$18.9
23	Freddie Mac KF126 B Piece	Jul-25	Security	Multifamily	Various	Other	$7.9
24	Arya	Aug-25	Senior Loan	Multifamily	Los Angeles	CA	$6.9
25	Freddie Mac 2025-MN12	Nov-25	Security	Multifamily	Various	Other	$6.0
26	The Bouldin & 1301 S Lamar	Dec-25	Senior Loan	Mixed-Use	Austin	TX	$17.8
27	Nova Tallahassee	Dec-25	Senior Loan	Student Housing	Tallahassee	FL	$7.1
28	Bridge Point[1]	Feb-26	Senior Loan	Industrial	Philadelphia	PA	$25.9
Executed Term Sheet[2]							
29	Adela at MiMo Bay Phase II	-	Senior Loan	Multifamily	Miami	FL	$27.9
30	La Sierra	-	Senior Loan	Multifamily	Riverside	CA	$26.7
31	McKinney + Boll[1]	-	Preferred Equity	Multifamily	Dallas	TX	$23.8
Total							$607.6

Note: As of 12/31/2025, unless otherwise stated. $ in millions. Figures may not total exactly due to rounding. Gray highlighting indicates realization. [1] Investment was closed or signed up post-Q4.
[2] There can be no assurance that executed term sheet investments will close nor that they will close at the terms indicated herein.

CRED III Portfolio Detail (continued)

	Investment	Est. Gross IRR[1,2]	Est. Gross EM[1,2]	Est. Net IRR[1,2]	Est. Net EM[1,2]	Realization Status	Est. Exit Date
Closed							
1	Freddie Mac KF134 B Piece	12.7%	1.58x	9.7%	1.41x	Unrealized	Mar-32
2	*365 Bond Mezz B*	*11.3%*	*1.14x*	*8.6%*	*1.10x*	*Realized*	*Dec-23*
3	Freddie Mac KF145 B Piece	20.2%	2.13x	15.5%	1.80x	Unrealized	Jun-32
4	35 Stone	14.8%	1.33x	11.3%	1.24x	Unrealized	May-26
5	South Tryon Flats	13.6%	1.46x	10.4%	1.33x	Unrealized	Dec-26
6	*Parkstone at Indian Land*	*14.4%*	*1.22x*	*11.0%*	*1.15x*	*Realized*	*Dec-24*
7	Freddie Mac KF151 B Piece	20.9%	2.04x	15.9%	1.74x	Unrealized	Jun-32
8	Wynhouse	13.6%	1.22x	10.4%	1.16x	Unrealized	Jun-26
9	Sunnyside Studio Campus	15.8%	1.37x	12.1%	1.26x	Unrealized	Jul-27
10	*One22One*	*15.7%*	*1.28x*	*12.0%*	*1.20x*	*Realized*	*Oct-25*
11	Navona	15.0%	1.48x	11.5%	1.34x	Unrealized	Apr-27
12	Towerview at Ballantyne	14.2%	1.61x	10.8%	1.43x	Unrealized	Feb-28
13	745 4th Avenue	14.8%	1.28x	11.3%	1.20x	Unrealized	Mar-27
14	The Valiant	17.3%	1.40x	13.2%	1.28x	Unrealized	Mar-27
15	Aer Lamar	16.5%	1.58x	12.6%	1.41x	Unrealized	Jun-28
16	Inspire Sonoran Desert	15.8%	1.34x	12.1%	1.24x	Unrealized	Sep-28
17	American House Oak Park	13.2%	1.38x	10.1%	1.27x	Unrealized	May-28
18	Artisan Oaks	10.9%	1.32x	8.3%	1.23x	Unrealized	May-28
19	SaltAire	10.9%	1.32x	8.3%	1.23x	Unrealized	May-28
20	2900 Terrace	17.1%	1.36x	13.1%	1.26x	Unrealized	Dec-28
21	The Saint Grand	11.9%	1.26x	9.1%	1.18x	Unrealized	Oct-27
22	Ferncliff	15.6%	1.40x	11.9%	1.28x	Unrealized	Jan-29
23	Freddie Mac KF126 B Piece	14.4%	1.39x	11.0%	1.27x	Unrealized	Nov-31
24	Arya	11.1%	1.32x	8.5%	1.23x	Unrealized	Aug-28
25	Freddie Mac 2025-MN12	15.8%	1.92x	12.1%	1.65x	Unrealized	Jun-32
26	The Bouldin & 1301 S Lamar	11.3%	1.33x	8.6%	1.23x	Unrealized	Dec-28
27	Nova Tallahassee	12.7%	1.25x	9.7%	1.18x	Unrealized	Dec-27
28	Bridge Point[3]	11.5%	1.32x	8.8%	1.23x	Unrealized	Feb-29
Executed Term Sheet[4]							
29	Adela at MiMo Bay Phase II	12.0%	1.21x	9.2%	1.15x	Executed Term Sheet	-
30	La Sierra	12.2%	1.21x	9.3%	1.15x	Executed Term Sheet	-
31	McKinney + Boll[3]	13.1%	1.41x	10.0%	1.29x	Executed Term Sheet	-
Total / Wtd. Average		14.6%	1.41x	11.1%	1.29x		

Note: $ in millions. Figures may not total exactly due to rounding. Gray highlighting indicates realization. [1] Returns for closed investments are as of 12/31/2025. For important performance returns, please see Slide Specific Footnotes. Except where indicated as gross, returns are presented net of fees and projected expenses. [2] The returns presented herein anticipate the use of leverage, which has inherent risk and where employed will magnify any potential gains or losses experience by the Fund and/or investment. [3] Investment was closed or signed up post-Q4. [4] There can be no assurance that executed term sheet investments will close nor that they will close at the terms indicated herein.

Slide Specific Footnotes

Important Disclosures

This letter contains confidential information and may not be distributed in any form without the express written consent of Canyon Partners Real Estate LLC ("Canyon"). Any indication of interest from prospective investors in response to this letter involves no obligation or commitment of any kind.
This letter does not constitute an offer to sell or a solicitation of an offer to buy securities in any jurisdiction. Canyon does not assume any obligation to update this letter or notify any investor of any change in the information contained herein.

Past performance and/or recent investments are not indicative of future performance or opportunities, and there can be no assurance that comparable results will be achieved in the future. Any investment in Canyon involves significant risk, including the risk of loss of all or a portion of an investment. Actual outcomes and results may differ materially from the returns indicated herein.

This Presentation contains information on expected returns, distributions, including Current Pay, and/or expected realization dates and timelines, such information is presented for illustrative purposes only and are based on various assumptions, not all of which are described herein. A variety of market factors and assumptions may affect this analysis, and this analysis does not reflect all possible scenarios. Hypothetical illustrations, including expected returns and/or expected realization dates and timelines, are necessarily speculative in nature, and it can be expected that some or all of the assumptions underlying the hypothetical illustrations will not materialize or will vary significantly from actual results. Actual results will differ and may vary substantially from the hypothetical illustrations shown. No representation is made that such illustrations are accurate or complete or do not contain errors, or that alternative modeling techniques or assumptions would not be more appropriate or produce significantly different results.

Certain information contained herein constitutes "forward-looking statements," which can be identified by the use of forward-looking terminology such as "may," "will," "should," "expect," "anticipate," "target," "project," "estimate," "intend," "continue" or "believe" or the negatives thereof or other variations thereon or comparable terminology. Due to various risks and uncertainties, actual events or results or the actual performance of the investments may differ materially from those reflected or contemplated in such forward-looking statements. This also includes forward-looking statements relating to Canyon's outlook on such macro issues as the U.S. economy and real estate markets generally. No assurance can be made that such statements, which are solely in the opinion of Canyon, will prove to be accurate, and there is no obligation to update any such statement.

These presentation materials, which are provided for informational purposes only, are intended to be a summary of certain features of Canyon Real Estate Debt Fund III ("CRED III") described herein and do not purport to be a complete description of CRED III or its investment thesis or strategy. Nor are they an offer to sell, or the solicitation of an offer to buy, the securities described herein. For a more complete description of CRED III, please see the Fund's Confidential Offering Memorandum when it becomes available (the "Memorandum"). Any offering may only be made pursuant to the delivery of the Memorandum.

General Performance Returns Disclosure

Pursuant to amended Rule 206(4)-1 under the Investment Advisers Act (the "Marketing Rule"), all gross extracted and/or hypothetical performance, including targets and projections, within this document must be presented alongside a demonstrative hypothetical net return. In order to address certain anomalies associated with creating a hypothetical net return, we have adjusted certain calculations to more accurately reflect our expected net returns.

As a general matter, the Fund or platform level spreads are applied to underlying investments as a relative percentage change from gross to net for IRRs and equity multiples.
The Fund or platform level's gross to net profit percentage change is applied to the investment's gross IRR to calculate the net IRR (for example, for a Fund with a gross IRR of 20% and net IRR of 15%, the spread would be calculated as (20%-15%)/20%=25%. When an investment is profitable, the Fund's relative spread is multiplied by the gross investment IRR, the result of which is deducted from the gross investment IRR to determine the net investment IRR. When an investment is not profitable, the Fund's relative spread is multiplied by the gross investment IRR, the result of which is added to the gross investment IRR to determine the net investment IRR).

Where an Investment is profitable (gross equity multiple is 1.0x and above), consistent with the IRR methodology, the Fund or platform level's gross to net profit percentage change is applied to the Investment's profit to calculate the net equity multiple (for example, for a Fund with a 1.25x gross equity multiple and 1.15x net equity multiple, the spread would be calculated as (1.25-1.15)/(1.25-1)=40%. The 40% relative spread would thereby be applied to profit portion of gross positive returns to calculate hypothetical net returns for underlying investments). Where an investment is not profitable (gross equity multiple is less than 1.0x), the Fund or platform level's gross to net percentage change is applied to the Investment's gross equity multiple to calculate the net equity multiple (for example, for the same fund profile previously noted, the spread would be calculated as (1.25-1.10)/1.25=12%. The 12% relative spread would thereby be applied the gross equity multiple to calculate a hypothetical net return for such unprofitable underlying investments).

In reviewing net returns for reasonableness, where the net equity multiple is positive and the IRR is negative, the Fund or platform's absolute spread is used in order to calculate the net IRR. Conversely, if the net equity multiple is negative and the IRR is positive, the Fund or platform's absolute spread is used in order to calculate the corresponding net IRR.
Please refer to the performance disclosures for specific products and/or return profiles for further information about our net return calculation methodologies.

Past performance is not indicative of future results. All returns presented herein for unrealized investments or Funds which include unrealized investments are target returns. There can be no assurance that such targets will be achieved or that investments will be profitable once realized. Actual results may be materially different from those presented herein. Any investment involves significant risk, including loss of some or all of an investment. Please also refer to the Target Returns disclosure below for further information on how target returns are calculated. Unless otherwise indicated, returns are gross and do not reflect modeled Fund fees and projected expenses. Complete fund, platform and/or account performance records are available upon request.

Slide Specific Footnotes

CRED III Target Returns

The returns presented herein include unrealized and/or prospective investments and there can be no assurance that investments will materialize and/or be profitable once realized. Actual results may be materially different from those presented herein. Any investment involves significant risk, including loss of some or all of an investment. Returns presented herein are based upon the most current Fund model. CRED III net returns have been calculated using the weighted average gross to net spread of the CRED I, II, and III models using the CRED III performance and management fee structure, and for purposes of normalizing the spread, modeled recycling values have been treated in the same manner as Fund commitments as not to artificially inflate the gross to net spread. Amongst other factors, the model returns contemplate the opportunity set which we believe will be available, prospective asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. Specifically, the Fund model assumes that after the Commitment Period, the total aggregate principal amount of any Recourse Indebtedness (excluding the Credit Facility) will not exceed 50% of the sum of (i) the aggregate Unfunded Commitments and (ii) the aggregate cost (or commitment at acquisition) of the Fund's investments (including, for this purpose, leverage in respect of such investments). In addition, the targeted net return presented herein assumes: (1) a management fee rate of 1.5% of Invested Capital, (2) a 15% incentive fee, and (3) a 16 basis point estimated expense ratio. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Please see the Offering Memorandum for CRED III for a full description of the Fund's terms. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

CRED III Investment Examples (Unrealized)

The returns presented herein include unrealized investments and there can be no assurance that investments be profitable once realized. Returns presented herein are based upon the Asset model. Amongst other factors, model returns contemplate asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule timeline, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

CRED III Investments (Realized)

Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Complete fund and/or account performance records are available upon request. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

CRED III Investments (Executed Term Sheet)

The returns presented herein include executed term sheet investments and there can be no assurance that investments be profitable if/once closed and subsequently realized. Returns presented herein are based upon the Asset model. Amongst other factors, model returns contemplate asset-level expenses, prevailing and projected interest rates and cap rates, construction costs, construction schedule timeline, leasing and absorption assumptions, operating expense assumptions, real estate tax assumptions, sales assumptions, realization timing assumptions and leverage assumptions. The Advisor's performance and management fees are reflected, amongst other factors noted in the underlying Fund(s) methodology description(s), in the Fund Fees used to calculate net returns. Such modeled factors, not all of which have been described herein, have been presented for illustrative purposes only. Net returns presented herein have been calculated utilizing the Fund Level spread from which the underlying investment originated. Complete fund and/or account performance records are available upon request. Please also refer to the General Performance Returns Disclosures for more important disclosure information.

Current Pay Footnote

Current Pay is based on estimated cash flow projections from the Fund's inception to the Fund's final investment's estimated realization date. Current Pay is calculated as the weighted average (weighted by invested amount) of the monthly, annualized, current income generated from investment fees, senior debt interest, and subordinate debt current pay interest (not accruals) divided by the invested amount. Such information is presented for illustrative purposes only and is based upon various assumptions, not all of which are described herein. Hypothetical projections are speculative in nature, and as with all models, actual returns may vary significantly based upon the inputs.

Slide Specific Footnotes

CRED III Projected Alternative Returns Scenarios (Gross/Net) and Definitions
Unlevered Gross / Net IRR: 14.5%/ 10.3%
Unlevered Gross / Net EM Post-Recallable: 1.50x / 1.31x
Levered EM Pre-Recallable: 1.42x / 1.24x
Unlevered EM Pre-Recallable: 1.42x / 1.27x

Recallable Capital: Investor contributed capital that has been previously distributed to investors following realization events but is subsequently subject to recall by the fund for reinvestment in accordance with fund terms.

Recycled Capital: Investor contributed capital that has been returned to the fund through realization events and is retained by Canyon for reinvestment, rather than being distributed to investors.

Pre-Recallable EM: The equity multiple calculated without including returns generated from capital that has been recalled and reinvested after initial distribution. Recycled capital is contemplated in Pro-Recallable returns.

Post-Recallable EM: The equity multiple calculated including returns generated from capital that has been recalled and reinvested after initial distribution.